widen the land-owning class, in the process fostering an agricultural revival, and making Japanese democracy more stable. But even though MacArthur started to break up the Zaibatsus, he did not have the necessary time to carry it out. The need for reliable suppliers during the Korean War forced the government to compromise with the Zaibatsus. This failure explains in part why the Japanese domestic market is still so uncompetitive even though Japanese democracy is vibrant.

Nevertheless, MacArthur accomplished a lot. In part, he was helped by the complete collapse of Japan and the utter exhaustion of its people. There was virtually no armed resistance to the occupying authority. The Japanese held their domestic elites responsible for initiating and prolonging the disastrous war, and attempts to cut them down to size were not resisted, and even welcomed by the citizenry.

The problem with a situation like Iraq's is that the occupying forces face a people who are neither completely subdued nor completely convinced of the legitimacy of the occupation. Without popular legitimacy any major reform may not stick. Worse, the exigencies of an unpopular occupation can perpetuate (and even strengthen) the power of existing elites.

If it does not obtain the citizenry's support, the occupying authority will have to seek allies to control the territory – else the costs of armed occupation will become prohibitive. These allies are typically found among powerful local bosses, who are often the very same ones who made possible the previous regime. In return, these bosses will seek economic favours such as government contracts and local monopolies. In other words, if the occupying authority does not have widespread popular support – and few foreign rulers, no matter how noble their intentions, will have such support – its natural tendency will be to allow mutually dependent concentrations of power